Funding Readiness Scoring Methodology

Scoring 1,116 funding applications out of 100, and placing each business in the High, Mid or Low tier.

Ndivhuwo | SME Capital Funding Optimization | 12/08/2026 | Companion to the Data Cleaning Walkthrough

1. The Score

The SME Capital Matching Initiative received 1,116 funding applications, which is more than the team can assess one by one. Every application is scored against the same four measures, called pillars.

Each pillar is calculated as a value between 0 and 1, where 0 is the weakest possible answer and 1 the strongest. That value is multiplied by the weight given to the pillar, which is the maximum number of points that pillar can contribute, and the four results are added together.

```
score = (pillar 1 × 30) + (pillar 2 × 25) + (pillar 3 × 25) + (pillar 4 × 20)
```

Pillar	Weight	The question it answers
1. Revenue and Growth	30	Is there a real business here, and is it growing?
2. Jobs and Scale	25	Is the business trading, and will the funding create jobs?
3. Is the Request Viable	25	Is the amount asked for sensible, and is the application complete enough to assess?
4. Transformation	20	What are the transformation credentials, meaning the B-BBEE level and how inclusive the ownership is?
Total	**100**	

2. Pillar 1: Revenue and Growth, 30 Points

This pillar measures whether the business genuinely trades, and whether it is getting larger. It is calculated from two measurements: the size of the most recent annual revenue, worth 60% of the pillar, and the change in revenue between 2023 and 2024, worth the remaining 40%.

Size, 60% of the pillar

The form offered revenue as a band instead of an exact figure, so the seven bands are placed in order and numbered from 0 to 6, where `0 to R500K` is position 0 and `Above R50M` is position 6. The size measurement is that position divided by 6, which puts it on a scale from 0 to 1.

```
size = position of the latest revenue band ÷ 6
```

The 2024 band is used, and where 2024 was left blank the 2023 band is used instead. A business that gave no band in either year is treated as not yet earning and scores 0 on this measurement.

Growth, 40% of the pillar

Band movement is the number of positions between the business's 2023 band and its 2024 band. It is limited to two positions in either direction, so that one unusual year cannot change the result by more than that. The movement is then converted onto a scale from 0 to 1, on which no movement is scored exactly in the middle.

```
growth = (band movement + 2) ÷ 4
```

What the business did between 2023 and 2024	Calculation	Growth measurement
Moved up two bands or more	(2 + 2) ÷ 4	1.00
Moved up one band	(1 + 2) ÷ 4	0.75
Stayed in the same band	(0 + 2) ÷ 4	0.50
Moved down one band	(-1 + 2) ÷ 4	0.25
Moved down two bands or more	(-2 + 2) ÷ 4	0.00
One of the two years was left blank	no movement can be calculated	0.50

```
pillar 1 = (0.60 × size) + (0.40 × growth), then × 30
```

This pillar has the largest weight because revenue is the strongest evidence in the application that the business genuinely trades, and the change in revenue between the two years is the strongest evidence that it is growing.

3. Pillar 2: Jobs and Scale, 25 Points

This pillar measures whether the business is operating, and what the funding would do for employment. It is calculated from two measurements: the number of people currently employed, worth 55% of the pillar, and the number of new jobs the applicant expects the funding to create, worth 45%. Existing staff are weighted slightly higher than forecast jobs because staff already on the payroll are a fact, while forecast jobs are an intention.

Both counts are converted with the same calculation.

```
score = log(count + 1) ÷ log(51)
```

A logarithm is used instead of a straight line, for a specific reason. The difference between a business with 1 employee and a business with 5 is a large proportional difference, while the difference between 50 employees and 54 is a very small one, yet a straight-line scale would treat the two gaps as equally important. A logarithm is a calculation that increases quickly at low counts and then increases very little at high counts, and it is set here so that a count of 50 produces the full score of 1.0.

People employed	Score for that measurement
0	0.00
1	0.18
3	0.35
10	0.61
25	0.83
50 or more	1.00

```
pillar 2 = (0.55 × employees score) + (0.45 × new jobs score), limited to 1.00, then × 25
```

A count above 50 produces a measurement above 1.0, which is why the combined result is limited to 1.0. A business with 144 employees is not scored higher than one with 50, because above 50 the additional employees do not change how confident a funder can be that the business is operating.

4. Pillar 3: Is the Request Viable, 25 Points

This pillar measures something different from the first two. It does not measure whether the business is a good one. It measures whether a funder could act on this particular application as it is written. It is calculated from two measurements: whether the amount requested is proportionate to what the business earns, worth 60% of the pillar, and whether the application is complete enough to be assessed at all, worth 40%.

A proportionate request, 60% of the pillar

Each business is first given a reference revenue, which is the figure the request is compared against. It is the actual 2025 revenue where the business supplied one, otherwise the midpoint of its 2024 band, meaning a single figure taken from the middle of that range, and otherwise the midpoint of its 2023 band. The amount requested is then divided by that reference revenue.

```
ratio = amount requested ÷ reference revenue
```

A ratio of 2 means the business is asking for twice what it earns in a year. The ratio is scored by three rules.

Where the ratio falls	How it is scored	Why
Between 0.5 and 5	The full 1.00	A request of between half a year's revenue and five years' revenue is the range within which a funder can realistically structure a deal.
Below 0.5	ratio ÷ 0.5, and never less than 0.40	A small request is still fundable. It is simply modest relative to the size of the business, so it loses a few points but is not treated as a problem.
Above 5	1 - (ratio - 5) ÷ 20, reaching zero at a ratio of 25	A business asking for several times its own revenue is requesting more than its trading history supports, and the higher the ratio, the less of the request that history supports.

A business with no usable revenue figure in any of the three years keeps the neutral 0.5, because the comparison cannot be made either for or against it.

Completeness, 40% of the pillar

Ten fields are needed before an application can be assessed at all. This measurement is how many of the ten were filled in, divided by ten, so a business that completed eight of them scores 0.80.

The ten fields required for assessment
Registration number, industry, province, amount requested, type of funding, purpose of the funding, 2024 revenue band, number of employees, company overview, and B-BBEE level, meaning the business's rating under Broad-Based Black Economic Empowerment.

```
pillar 3 = (0.60 × request score) + (0.40 × completeness), then × 25
```

Completeness is included in the score instead of being treated as an administrative matter, because an application missing a third of the fields a funder needs cannot be sent to a funder, however strong the business is.

5. Pillar 4: Transformation, 20 Points

South African funders, and in particular development finance institutions and the enterprise development funds that large companies run, are required by their own mandates to take transformation credentials into account, so those credentials are scored as a pillar of their own. It is calculated from two measurements of equal weight.

The B-BBEE level, 50% of the pillar

Broad-Based Black Economic Empowerment rates a business from Level 1, the strongest, down to Level 8, so the level is reversed and converted to a scale from 0 to 1.

```
B-BBEE score = (8 - level) ÷ 7
```

Level 1 gives (8 - 1) ÷ 7 = 1.00, Level 4 gives approximately 0.57, and Level 8 gives 0.00. A business that gave no level keeps the neutral 0.5.

Inclusive ownership, 50% of the pillar

The form captured four ownership percentages, which are Black, women, youth and disability ownership, and it captured each one as a range. Each range was converted to its midpoint, and this measurement is the average of those midpoints divided by 100. Where a business answered only some of the four, the average is taken across the ones it answered, and only a business that left all four blank keeps the neutral 0.5.

```
ownership = (average of the ownership percentages given) ÷ 100
```

```
pillar 4 = (0.50 × B-BBEE score) + (0.50 × ownership), then × 20
```

6. Why the Weights Are Set Where They Are

The weights of 30, 25, 25 and 20 are a judgement about what funders act on, and they are set out here so that the judgement can be argued with instead of merely accepted.

Revenue and growth has the highest weight, at 30. Of everything the form captured, revenue is the strongest evidence that the business genuinely trades, and the change in revenue between two years is the strongest evidence that it is growing.

Jobs and the viability of the request have the next highest weights, at 25 each. A proportionate request from a business that already employs people is what a funder can structure a deal around. Either one on its own is insufficient: a strong business asking for an impossible amount cannot be funded as the application stands, and a well-sized request from a business with no operations is not fundable either.

Transformation has the lowest weight, at 20, and the reason is measurable rather than a matter of principle. In this pool of applicants, 92% of businesses are majority Black-owned and 86% hold B-BBEE Level 1. When almost every applicant scores near the top of a measurement, that measurement does very little to distinguish one application from another, and distinguishing between applications is the purpose of the score. It is kept at 20 instead of being dropped because it remains a genuine requirement in many funders' mandates, and a business with no score on it would be harder to match to a funder.

> **The weights are visible and changeable.** All four are declared together in one place at the start of the scoring code, so the model can be adjusted by changing four numbers and nothing else. Section 11 explains what to change once the programme knows which tiers actually convert into funded deals.

7. The Rule for Unanswered Questions

Many applications were submitted with fields left blank, and the model has to treat a blank as something. The rule used throughout is that **an unanswered question is scored as neutral, at 0.5, and never as zero**. No business receives a lower score because of a question the form failed to capture from it.

There are two deliberate exceptions, both being cases where a blank has a definite meaning instead of being merely absent.

1. **Revenue of nothing, in Pillar 1.** A business that reports no revenue in either year is treated as not yet earning, which is a real state of affairs, instead of as an unknown.
2. **Employment counts, in Pillar 2.** A blank headcount is treated as no employees recorded, and forecast job numbers are never assumed on an applicant's behalf, because assuming an employment figure for a business is the one place where a generous assumption would mislead a funder directly.

The trade-off in this rule is worth stating plainly. Because blanks are scored as neutral, a largely incomplete application can receive a score similar to that of a modest but complete one. The completeness measurement in Pillar 3 is what limits that, and the recommended action for the Low tier is to complete the missing information and score the business again.

8. From a Score to a Tier

Each business is placed in one of three tiers using fixed score boundaries. The boundaries are fixed instead of being set as a proportion of the pool, so that a tier has the same definition when a future round of applications is scored. If the next intake of applications is stronger, the High tier will simply contain more businesses, which is the correct result.

Tier	Score	What it means	Recommended action
High	62 to 100	Established, credible businesses asking for an appropriately sized amount	Package and present to investors immediately
Mid	48 to 61	Genuine trading businesses with specific gaps that can be closed	Provide readiness support, reduce the request to a realistic size, and score again
Low	0 to 47	Early-stage businesses, or applications missing information investors require	Repair before any introduction: complete the information and recalculate the request

Every business is also given a rank, where 1 is the most ready. Businesses on the same score share the same rank, and ties are settled alphabetically by company name, so that running the model twice on the same applications always produces exactly the same list in exactly the same order.

9. Two Applications Scored From Beginning to End

The two businesses below are real rows in the published scored file, `Funding_Readiness_Segmentation.xlsx`, and every figure below can be looked up in it. The first is the strongest application in the pool and the second is just below the Mid boundary, so together they show how the calculation works on a very strong application and on a weak one.

Vuka Transport CC, rank 1 of 1,116, scoring 92.0 and placed in High

Pillar	What the form said	The calculation	Points
1. Revenue and Growth	2023 band `R20 000 001 to R50M`, position 5. 2024 band `Above R50M`, position 6.	size = 6 ÷ 6 = 1.00. Moved up one band, so growth = (1 + 2) ÷ 4 = 0.75. Pillar = (0.60 × 1.00) + (0.40 × 0.75) = 0.90	27.0
2. Jobs and Scale	144 people employed, 14 new jobs forecast.	employees = 1.27, which is above the limit of 50. jobs = log(15) ÷ log(51) = 0.69. Pillar = (0.55 × 1.27) + (0.45 × 0.69) = 1.01, limited to 1.00	25.0
3. Is the Request Viable	Requested R40,940,000 against actual 2025 revenue of R34,115,739. All ten required fields completed.	ratio = 1.2, inside the range of 0.5 to 5, so the request scores 1.00. Completeness = 10 ÷ 10 = 1.00. Pillar = 1.00	25.0
4. Transformation	B-BBEE Level 1. Ownership 100% Black, 0% women, 100% youth, 0% disability.	level = (8 - 1) ÷ 7 = 1.00. ownership = 50 ÷ 100 = 0.50. Pillar = (0.50 × 1.00) + (0.50 × 0.50) = 0.75	15.0
Funding Readiness Score			**92.0**

The business receives full marks on three pillars and loses points only on transformation, where two of its four ownership percentages are zero. That is the intended result. An application this strong should be at the top of the list, and the one pillar where it loses points is recorded in its own column of the spreadsheet instead of being hidden inside the total.

Blue Crane Enterprises CC, rank 843 of 1,116, scoring 47.8 and placed in Low

Pillar	What the form said	The calculation	Points
1. Revenue and Growth	Both 2023 and 2024 in band `0 to R500K`, position 0.	size = 0 ÷ 6 = 0.00. No movement between the years, so growth = 0.50. Pillar = (0.60 × 0.00) + (0.40 × 0.50) = 0.20	6.0
2. Jobs and Scale	3 people employed, 3 new jobs forecast.	each count = log(4) ÷ log(51) = 1.386 ÷ 3.932 = 0.35. Pillar = (0.55 × 0.35) + (0.45 × 0.35) = 0.35	8.8
3. Is the Request Viable	Requested R90,000 against 2025 revenue of R8,639. Industry, funding type and company overview all left blank.	ratio = 10.4, which is above 5, so the request scores 1 - (10.4 - 5) ÷ 20 = 0.73. Completeness = 7 ÷ 10 = 0.70. Pillar = (0.60 × 0.73) + (0.40 × 0.70) = 0.72	17.9
4. Transformation	B-BBEE Level 1. Ownership 100% Black, 100% women, 0% youth, 0% disability.	level = (8 - 1) ÷ 7 = 1.00. ownership = 50 ÷ 100 = 0.50. Pillar = 0.75	15.0
Funding Readiness Score			**47.8**

This application is 0.2 of a point below the Mid boundary of 48, and the model does not round it up. The breakdown shows that the business is not scored down for being small. It loses the most points on Pillar 1 because it has remained in the lowest revenue band for two years, and it loses points again on Pillar 3 for requesting more than ten times its revenue with three required fields left empty. The two problems in Pillar 3 can both be corrected by contacting the applicant, which is exactly what the recommended action for the Low tier requires.

> **A note on the arithmetic.** The score is calculated from the unrounded pillar values and rounded once at the end, while the four columns of points in the spreadsheet are each rounded for display. Adding the displayed columns can therefore differ from the score by up to 0.1, as it does here, where 6.0 + 8.8 + 17.9 + 15.0 comes to 47.7 against a true score of 47.8.

> **Take care with company names.** The published data contains both *Blue Crane Enterprises CC*, at rank 843, and a separate *Blue Crane Enterprises*, at rank 165 with a score of 66.6 in the High tier. They are different applications from differently named businesses. When checking a figure, match on the rank instead of on the name alone.

10. What the Score Does Not Measure

The model is deliberately transparent, which means its limits should be read alongside its results.

- **None of the information is verified.** Every figure is what the applicant typed into a public web form. Nothing has been confirmed against company registries, financial statements or credit records. The score measures how ready a business is to be presented to a funder, not whether it can repay money, and a funder's own checks still follow in full.
- **Revenue is approximate.** The 2023 and 2024 figures are bands instead of exact amounts, so a midpoint is used in place of the true figure. That is accurate enough to put businesses in order and to place them in tiers,

but any single comparison of a request against revenue is an estimate.

- **The score does not measure how well a business is run.** A well-run business and a poorly run one that submitted identical answers receive identical scores, because the score is calculated only from the answers on the form.
- **Very large values are capped on purpose.** Amounts above R2 billion are treated as typing errors, the request measurement stops increasing above the target range, and employment counts stop increasing above 50. These caps prevent a small number of extreme entries from changing the order of the whole list.
- **The boundaries are choices.** The weights of 30, 25, 25 and 20 and the tier boundaries of 62 and 48 represent a defensible view of funding readiness, but they remain a view, and they are stated here so that they can be challenged.

11. How to Change the Model

The model is built to be adjusted as the team learns which businesses actually receive funding, and there are three places where a change makes sense.

1. **The four pillar weights,** if experience shows that funders act on something other than what the current weights emphasise.
2. **The two tier boundaries of 62 and 48,** if the High tier turns out to be either too large for the team to work through or too small to keep investors supplied with candidates.
3. **The target range for the request,** currently half a year's revenue to five years' revenue, if the deals that actually close fall outside that range.

The most valuable change will come from evidence instead of from judgement. As deals close, recording which tier each funded business came from allows the tiers to be tested. If businesses from the Mid tier are funded as often as those from the High tier, the boundary between the two is in the wrong place and should be moved.

12. Where These Numbers Come From

Every figure in this document comes from a single file, which is the export of applications submitted through the initiative's online form. That export holds 1,186 rows, which resolve to 1,116 separate businesses once duplicate and repeated submissions are removed, and the applications run from 29/05/2025 to 26/06/2026.

The scoring described here is performed in `Funding_Readiness_Segmentation.ipynb`, which is published in the project repository with a written explanation before every block of code, and it produces `Funding_Readiness_Segmentation.xlsx`, in which every business appears with its four pillar contributions, its score, its tier and its rank.

The live application data contains real business names, named individuals, contact details and registration numbers, so it cannot be published. The repository instead contains a stand-in dataset with the same columns, the same number of rows and the same kinds of error, in which every identifying value has been replaced by a fictitious equivalent, and the two worked examples in Section 9 are taken from that published stand-in, which is why they can be checked directly. The scoring rules, the weights and the tier boundaries described in this document are identical for both, and only the underlying records differ.